

satisfied. The measures include a number of infrastructure projects for Bihar, an industrial corridor, tourism projects as well as additional capital allocation and external assistance through multilateral development agencies. In terms of project spends, these add up to about ₹59,000 crore for the state. Andhra Pradesh, too, has been allocated similar benefits as well as special financial support through multilateral development agencies of ₹15,000 crore for FY25.

Analysts and policy watchers say this was expected given that they are key political allies. But the FM has highlighted that every state has received adequate attention in the Budget. A report by HDFC Bank notes that the total transfer to states in the Union Budget is projected to increase by ₹74,439 crore from the Interim Budget. "This accounts for both higher tax devolution (due to higher total tax receipts) and 'other transfers' which includes transfers to states like Bihar and Andhra Pradesh and slightly higher allocation for interest free capex loans (targeted at ₹1.5 lakh crore)," it said.

THE MACRO PICTURE

Getting a thumbs up from investors, the government has ensured that the Budget remained credible, if a little cautious on its projections on revenue collections and other receipts. The Economic Survey presented on the eve of the Budget pegged GDP growth at 6.5-7% in FY25, which is lower than the Reserve Bank of India's forecast of 7.2%, as also of many other agencies.

Chief Economic Advisor V. Anantha Nageswaran said the Survey is optimistic but remains mindful of the several challenges including the progress of the monsoon as well as geopolitical developments.

THE NUMBERS STORY

₹48.21
LAKH CRORE
TOTAL SIZE OF
THE BUDGET

₹1.48
LAKH CRORE
PROVISION FOR
EDUCATION,
EMPLOYMENT AND
SKILLING IN FY25

₹1.52
LAKH CRORE
PROVISION FOR
AGRICULTURE AND
ALLIED SECTORS
IN FY25

₹50,000
CRORE
TARGET FROM
MISCELLANEOUS
CAPITAL RECEIPTS,
LARGELY
DISINVESTMENT
PROCEEDS

₹4.28
LAKH CRORE
EARMARKED FOR
SUBSIDIES INCLUDING
FOOD, FERTILISER,
PETROLEUM AND
OTHERS

The Union Budget also retained the Interim Budget's nominal GDP growth projection of 10.5% for FY25. But RBI's bumper dividend gave it the fiscal space to target reducing the fiscal deficit to 4.9% of the GDP in FY25 as against the Interim Budget projection of 5.1%, and also to increase revenue expenditure on schemes for employment, housing and rural road construction under the Pradhan Mantri Gram Sadak Yojana. The higher revenue spending on these is expected to give consumption a boost in the medium term and put more money in the hands of the rural populace.

Nomura said in the report that Budget assumptions are largely credible and the fiscal deficit target is achievable.

Compared to the Interim Budget presented, there has only been minor tweaking in the tax collection targets in the Union Budget for FY25, though the actual mop-up in FY24 exceeded the Revised Estimates.

Clarifying the government's stance on disinvestments, the Finance Minister underlined that decisions taken by the Cabinet on strategic sales will be honoured, although the timing of these will be decided by the government.

"Value creation is at the core of our approach, and the disinvestment strategy should be more calibrated and should be subservient to that rather than an end in itself. We are also trying to slightly de-link it from the fiscal deficit management approach and align it towards market management," Tuhin Kanta Pandey, Secretary at the Department of Investment and Public Asset Management (DIPAM), tells *Business Today*.

Dividends from PSUs and disinvestment receipts together are estimated to bring in a little over ₹1 lakh crore this fiscal.